Revision Date:
March 1, 2025

Background:
CalWORKs customers requesting child care from the CalWORKs Stage One Child Care Program will select their own child care provider. The provider must meet certain criteria to enroll with the Stage One Child Care Program and be reimbursed for the services they provide.

Purpose:
This section provides instructions for enrolling a child care provider into the Stage One Program. The purpose of this revision is to complete a sunset review and provide clarification of some of the policies regarding child care provider requirements. Additionally, all procedures have been removed from this section and moved to the new Processing Guide 10-010.C1 Provider Enrollment.

Policy:
Parental Choice
Active and former CalWORKs families participating in the Stage One Program may choose their child care provider.

Customers may choose child care given by**:**
- A licensed family child care home.
- A licensed child care center.
- A license-exempt relative, friend, or neighbor, who provide care in the child's home, or the provider's home.
- A license-exempt school program or a public recreation program.

Licensed Providers
A licensed provider is a person or organization that has obtained a child care license from the State of California, Community Care Licensing. Licensed providers include Licensed Family Child Care Homes and Licensed Child Care Centers.

- *Licensed Family Child Care Homes* offer licensed care in the licensee's home. A small family child care home can be licensed for up to eight (8) children, and a large family child care home, with an assistant, can be licensed for up to fourteen (14) children.
- *Licensed Child Care Centers* are licensed providers who provide care in a building large enough for many children and with staff who have training in health and safety and early education.

License-Exempt Providers
A license-exempt provider is a trusted family, friend, or neighbor, who provides care in the provider's home or the family's home and is not licensed by the State of California Community Care Licensing. License-exempt providers are only permitted to care for the children of one family.

- *License-Exempt Relative:* For the purposes of child care a 'relative' provider is a grandparent, aunt or uncle of the child receiving child care services, who is related by blood, marriage, or court decree.

A court decree includes, but is not limited to, adoptions or other court orders impacting family relationships.

- *License-Exempt Non-Relative:* For the purposes of child care, a 'non-relative' provider is anyone who is not a grandparent, aunt or uncle of the child receiving child care services.

License-Exempt Centers

License-exempt centers provide activities and recreation for children but are not required to be licensed. License-exempt centers that can be reimbursed by the Stage One Program include:

- *Public recreation programs* if they operate only during non-school hours.
- *Before and after school programs* that are operated by public or private schools.

Note: A before and after school expanded learning opportunity program operated by a third party must hold a child care facility license to be reimbursed by the Stage One Program.

Providers Who Offer Religious Instruction

Some providers include religious instruction or worship while providing child care services. This is permitted in the Stage One Program.

Stage One Program Provider Requirements

Any licensed family child care home, child care center (licensed or license-exempt), or license-exempt provider (relative or non-relative) may be reimbursed by the Stage One Program for services, if the provider meets the following requirements:

- Be 18 years old or older.
- Have a child care license or be exempt from child care licensing requirements.
- Meet or be exempt from the health and safety requirements for license-exempt providers.
- Meet or be exempt from Trustline Registration requirements for license-exempt providers.
- Not be the child(ren)'s parent, legal guardian, or a member of the assistance unit.
- Enroll with the Stage One Program by supplying child care staff all requested information and documentation required to determine eligibility.
- If licensed, remain in compliance with licensing regulations, including capacity requirements.
- If licensed, charge the same rates, and apply the same policies to both subsidized and unsubsidized families in their child care facility.
- Allow parents unlimited access to their children and those caring for their children whenever the children are in the care of the provider.
- Understand that the Stage One Program staff may perform site visits at random in order to provide technical assistance with Attendance Sheets and information regarding program participation.

Stage One Program Handbook

All providers must be given a Stage One Program Handbook. Providers must sign a receipt for the handbook as part of the enrollment process and indicate that they understand the regulations and policies explained in the handbook.

Health and Safety Requirements

License-exempt non-relative providers are **not exempt** from health and safety self-certification, and:

- Must complete form CCP4 *Health and Safety Self-Certification.*

License-exempt relative providers are **exempt** from health and safety certification, and:

- Must complete form CCP1 *Declaration of Exemption from TrustLine Registration and Health and Safety Certification*.
- Are encouraged, but not required, to complete form CCP4 *Health and Safety Self-certification*.

Customers are required to comply with health and safety regulations by doing the following:

- Complete and sign the CCP4 for license-exempt non-relative providers.
- Complete and sign the CCP1 for license-exempt relative providers.
- Make sure that child care is being provided in a place that is safe and healthy. For this purpose, child care staff must give customers form CCP6 *Health & Safety Facility Checklist* that lists suggested questions to ask child care providers to help ensure that the physical premises where child care is provided is a safe and healthy place for a child.

Tuberculosis (TB) Test Verification

A license-exempt non-relative provider is responsible for providing results of a TB test taken within the last 12 months to the parent. This is addressed on the CCP4 form. A license-exempt non-relative provider who tests positive for TB will not be eligible to be reimbursed by the Stage One Program.

TrustLine Registry

License-exempt non-relative providers are required to be registered with TrustLine to be reimbursed by the Stage One Program. The TrustLine Registry is a registry of service providers whose TrustLine application, upon completion of a background check, has been approved. All providers listed with TrustLine have been cleared through a fingerprint check of records conducted by the California Department of Social Services (CDSS), which includes checks of the California Criminal History System and Child Abuse Central Index at the California Department of Justice, as well as a check of Federal Bureau of Investigation (FBI) records.

To be registered with TrustLine, individuals cannot have:

- Disqualifying criminal convictions listed on the California Criminal History System.
- Substantiated reports of child abuse listed on the California Child Abuse Central Index.
- Disqualifying criminal convictions listed on the FBI Criminal History system.

Customers can call 1-800-822-8490 between the hours of 9:00 a.m. and 5:00 p.m., Monday through Friday, to determine if the child care provider they are considering has registered with TrustLine. If the individual has not yet registered with TrustLine, the customer must be provided a TrustLine Registry application packet, which includes a TrustLine Registry application, LiveScan Fingerprint forms and instructions. For more information on the TrustLine registration process, see CalWORKs Processing Guide (CPG) 10-010.C1, and the TrustLine Registration Desk Aid.

Reasons for Rejection from TrustLine Registration

Reasons for rejections are substantiated reports of child abuse or felony conviction for any of the following Penal Code Sections:

a. PC 187 Murder
b. PC 192(a) Voluntary Manslaughter
c. PC 203-206.1 Mayhem

d.	PC 220	Sexual Assault
e.	PC 243.4	Sexual Battery
f.	PC 261	Rape
g.	PC 264.1	Rape/Foreign Object
h.	PC 273a(1)	Willful Cruelty
i.	PC 273d	Corporal Punishment
j.	PC 286	Sodomy
k.	PC 290	Registration of Sex Offenders
l.	PC 368	Elder Abuse
m.	PC 288	Lewd or Lascivious
n.	PC 667.5 (c)	Violent Felonies
o.	Felonies punishable by death or life imprisonment	

Refer to Health and Safety Code Section 1596.871 (f)(1) and Penal Code 667.5 (c) for additional crimes that may prohibit a provider from being approved to provide child care.

If a substantiated report of child abuse or felony conviction from the list above becomes known during the child care interview with the customer and/or provider, then the TrustLine exempt person will be denied, as they would not pass the TrustLine background check. See CPG 10-010.C1 for steps to be taken when child abuse is suspected.

TrustLine Denied or Closed Providers

When a provider's TrustLine registry application has been denied, the TrustLine file is closed, or TrustLine registration is revoked, the customer and the provider will be notified within two days of the TrustLine rejection that no payments will be made to the provider, and the customer must find a different provider.

An unlicensed provider that has been denied or closed by TrustLine cannot be enrolled as a child care provider unless the provider is reopened or cleared by TrustLine. The provider may call the State Analyst listed on their closure letter. The State Analyst will evaluate whether the TrustLine application can be reopened or cleared. The provider may also call the Care Provider Management Bureau at 1-888-422-5669, or email them at Guardian@dss.ca.gov , or visit their website at: www.ccld.dss.ca.gov/cpmb. The customer should choose another provider during the state review process since it can take up to three months.

Pending TrustLine Registration

The Stage One Program will not pay for child care services to a provider who is required to be registered through TrustLine until the registration is complete. If the provider requires payment before that, the customer is responsible for paying the child care costs. Customers may want to explore alternative child care options until their chosen provider receives TrustLine clearance.

Payments After TrustLine Clearance

A provider who becomes TrustLine registered may be retroactively paid for their services for up to 120 calendar days from the first day that CalWORKs child care services were requested and received, or from the date TrustLine is cleared.

Provider Denial and Discontinuance

Although the child care provider is based on parental choice, there are instances when a parent's choice of provider will be denied or discontinued. Examples include:

- A license-exempt non-relative provider fails to complete a TrustLine application.
- A TrustLine application has been denied, a Trustline registration is revoked, or the TrustLine case file is closed.
- A licensed provider has the license revoked or suspended or fails to comply with licensing requirements.
- Staff has knowledge that the provider has been convicted of a disqualifying crime (see list of rejection reasons above).
- Staff has knowledge that the provider has a substantiated report of child abuse (supervisor approval is required to deny the provider).
- The provider has been convicted of child care fraud (supervisor approval is required to deny the provider).
- A provider fails or refuses to submit any required verification by the submit due date.

If a provider is denied or discontinued from the program, the customer remains eligible and may select another provider. The new provider must complete the enrollment process before child care can be approved. If a provider is denied or discontinued, an appropriate and timely Notice of Action (NOA) will be sent to the customer and provider. See CPG 10-010.F Notice of Action.

License Revoked or Suspended

If a provider receives a Temporary Suspension Order (TSO) or their license has been revoked, the following will take place within two business days:

- Payment will be terminated to the child care provider as of the effective date of the TSO or license revocation.
- The customer and the child care provider will be informed in writing that the payment has been terminated and the reason for the termination.

Licensed Provider on Probation

When a licensed child care provider's license has been placed on probation, the customer will be informed in writing within two business days that:

- The child care provider has been placed on probation.
- They have an option to select a different child care provider or remain with the provider without subsidy payments being terminated unless the provider's license is revoked or suspended.
- If the customer chooses to remain with this provider, the customer must sign the *Probation/Do Not Refer (DNR) Awareness* form, or another county approved form.

Providers on Do Not Refer (DNR) List

When a child care provider has been placed on the Child Care Resource and Referral Services (R&R) *DNR* list, the provider will be treated like providers who have been placed on probation.

The DNR child care provider may continue to be used by currently served customers, as well as selected by new customers. The customer must be informed that they are selecting a provider on the

DNR list, and sign and date the *DNR Awareness* form documenting that they are aware of the provider's status.

Licensed Provider Change of Address

When a licensed provider changes their address, a new license is required for the new address. If the provider is already in the new location and a license is pending for the new address, the provider cannot be paid as a licensed provider. The following is required:

- The provider becomes a license-exempt provider and can care for only one unrelated family.
- To be paid as a license-exempt provider, the provider must complete a TrustLine packet within 7 business days and follow the instructions on the TLR9163G to transfer their fingerprint records from Community Care Licensing to the TrustLine Registry.

Provider Holidays and Vacations

Licensed child care providers may identify in their contract with the parent, non-operational days, such as holidays and/or vacation days that they are not available to provide child care services but request payment. The following policy must be adhered to:

- A maximum of 10 paid non-operational days per year are allowed. Verification is required from the provider's contract that they charge the unsubsidized families for the same non-operational days.
- Affected customers may use an alternate child care provider to provide child care services necessary to retain employment and/or continue in their approved activity during the non-operational days.
- The alternate provider must complete the enrollment process and be an eligible provider in order to receive payment.
- Payment to an eligible alternate provider when the regular provider has a paid holiday/vacation day is limited to 10 days per fiscal year.

Note: This applies *only* to licensed providers. License-exempt providers are paid for actual hours of care provided.

Licensed Provider Rates

A licensed provider must submit a rate sheet to the Stage One Program at the time of enrollment. They may change their child care rates by submitting new rates to the Stage One Program and to the local R&R to reflect the changes. When a provider notifies the Stage One Program of a rate increase, the rate takes affect the first of the following month or later if the provider identifies the effective date of the rate change is a later date.

- Licensed providers must provide the notification sent to all families that explains the rate change or complete a new *Parent-Provider Fee Agreement* for each family.
- A licensed child care provider must post, in a prominent location adjacent to the provider's license at the child care facility, the provider's rates and discounts or scholarship policies, if any.

Note: Family/friend licensed-exempt providers are not required to submit rate sheets.

Registration, Material, and/or Insurance Fees

A licensed provider may request registration, materials, and insurance fees when enrolling children. The fees must be established in the provider's fee agreement or contract at the time of enrollment. The

fee is usually requested when enrolling a child but may also be requested annually. The fees may be made in a single payment or prorated over a 12-month period, as long as:

- The provider documents that the contractual terms used for services to unsubsidized families require payment for such fees, and
- The fees or prorated portion, plus the rate established for the provider per the Regional Market Rate (RMR) do not exceed the maximum subsidy amount.

CalWORKs Customer as a Child Care Provider

When a CalWORKs customer is working as a child care provider, there are some approval limitations:

- Active CalWORKs customers may provide licensed or license-exempt child care as an Employment Services (ES) activity if approved by their ES case worker. For example, if they are earning at least minimum wage based on reimbursable care and/or the self-employment is deemed to be an activity moving toward self-sufficiency.
- A customer cannot be paid to provide care for their own children.
- A customer cannot receive child care subsidies for their own children's care, when working as a license-exempt provider or a licensed family child care home provider. Their work does not preclude them from supervising their own child(ren).
- A customer can receive child care subsidies for their own children's care, when working as an assistant at a licensed large family child care home where their own children are present.
- A customer cannot receive child care subsidies when working in the same licensed facility classroom where their child is enrolled. Their work does not preclude them from supervising their own child(ren).
- The children of a child care provider may be served in a State Preschool program, if the customer is not a teacher in the same classroom as their own children.

Multiple Providers

A customer may choose more than one provider to meet the child care hours only when:

- More than one provider is necessary to meet the certified need for child care, and
- Neither provider's hours of operation cover the hours of need, and
- The providers have documentation when unable to provide all hours of care (documentation could be an employer's verification showing the provider's work schedule), or
- One provider can meet the entire need for care, but the customer has also chosen a licensed center to provide the child with school readiness experiences. This is for preschool age children only (2–5-year-olds), or
- The parent has chosen a second provider to provide back-up care when their first provider is a licensed provider and is closed or unavailable to provide care.

Procedure:

10-010.C1 Child Care Provider Enrollment Procedures
TrustLine Registry / Guardian System Desk Aid

References:

MPP 47-260, 47-301.9, 47-420, 47-430, 47-401, 47-600
5CCR 18074 -18076.5, 18066, 18066.5, 18227(a)(3)
WIC 10214, 10228, 10371.5, 11324.

HSC 1596.60 -1596.68, 1596.792, 1596.793, 1596.871
ACWDL 21-4-26
CCB 23-28, 24-04

Sunset Date:
This policy will be reviewed for continuance on or by March 31, 2028.

Approval for Release:

3-24-25

Rick Wanne, Director
Self-Sufficiency Services